important to air some of our concerns and I did so in a speech in June 2014. I had to be diplomatic, but also raise the right questions.

## Financial Sector Legislative Reforms Committee Report (FSLRC): What to Do and When?

The Financial Sector Legislative Reforms Committee (FSLRC) Report is one of the most important, well-researched, as well as well-publicized reports in Indian financial history. It not only lays out the functions of the financial sector and how it should be structured, but also how legislation and regulation governing it ought to look like. The authors of this report truly have to be commended for their national service.

There is much to like and agree with in the report. In laying out the need for consumer protection, raising the issue of whether products sold are suitable for the target customer, and putting the onus on the financial institution to determine suitability, the report has forced regulators to review their consumer protection frameworks. We at the RBI are indeed engaged in such an exercise, informed by the valuable guidelines in the FSLRC report.

There is more of great value. The FSLRC wants law not to micromanage, and prefers to give regulators more leeway. This is indeed important as the world we regulate changes faster than the pace at which legislation can change. The FSLRC's emphasis on the need for a clear monetary framework culminated in the Dr Urjit Patel Committee report, which will guide our thinking in the years to come. Similarly, its focus on creating new institutions like the Financial Resolution Authority to fill gaps in our institutional structure is much needed.